EXECUTIVE SUMMARY

1. Introduction

a. Agency Profile

Faire was founded on November 27, 1897 and got its name in honor of its founder, Captain Miguel Faire by virtue of Executive Order No. 2390 dated February 28, 1932. Sometime in December of 1971 during the incumbency of then Mayor Leandro Pagurayan, a resolution was passed changing the name Faire to Sto. Niño.

The objectives of the Municipality of Sto. Niño are to implement development projects and programs to increase tax revenues thru better collection procedures and measures. In line with these objectives, the Local Chief Executive and the Sangguniang Bayan Members thru the Presiding Officer committed themselves to the delivery of the basic services to their constituents that are geared towards the development of the municipality as a self-reliant community.

For CY 2017, the Municipality of Sto. Niño had a total of 339 personnel complement with 98 permanent, 11 elective, 2 co-terminus, 18 casual, 2 consultants and 208 job order status.

b. Scope of Audit

The audit covered the accounts and operations of the Municipality of Sto. Niño, Cagayan for CY 2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year-ended December 31, 2017 with comparative figures for CY 2016 are as follows:

	2017	2016	Increase (Decrease)
Financial Position			
Total Assets	267,497,336.90	217,015,302.89	50,482,034.01
Total Liabilities	64,420,051.58	45,821,118.45	18,598,933.13
Total Government Equity	203,077,285.32	171,194,184.44	31,883,100.88

Financial Performance			
Total Income(Includes Subsidy from Other Funds)	140,411,033.17	126,296,832.97	14,114,200.20
Total Expenses (Includes Total Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	107,991,364.60	99,279,618.03	8,711,746.57
Appropriations, Allotments and Obligations			
Total Appropriations – Current	143,382,611.80	126,507,435.97	16,875,175.83
Total Obligations - Current	122,272,530.88	119,746,079.14	2,526,451.74
Total Appropriations - Continuing	24,840,670.42	28,450,791.04	(3,610,120.62)
Total Obligations - Continuing	5,085,323.59	16,498,597.65	(11,413,274.06)

The Municipality received fund transfers from other agencies totaling ₱36,173,602.53 and there had been no transferred funds to barangays during CY 2017 with comparative figures for CY 2016, as follows:

	2017	**2016**	**Increase (Decrease)**
Funds Received from:			
National Government Agencies (NGAs)	₱ 35,173,602.53	₱ 12,425,100.00	₱22,748,502.53
Local Government Units	1,000,000.00	-	1,000,000.00
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-	-	-
Total	**₱ 36,173,602.53**	**₱ 12,425,100.00**	**₱23,748,502.53**
Funds Transferred to:			
NGAs	₱ -	₱ -	₱ -
Local Government Units	-	-	-
NGOs/POs	-	-	-
Total	₱ -	₱ -	₱ -

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Sto. Nino, Cagayan for the year-ended December 31, 2017 due to the following:

a. Inadequate accounting and property records and non-conduct of physical count to support the balance of the recorded Property, Plant and Equipment (PPE) account totaling ₱120,882,154.33.

b. Un-reconciled difference between the Cash in Bank accounts in the General Ledger and in the balances confirmed by depository banks which accumulated to P17,332,363.87 due to the continued non-preparation of monthly Bank Reconciliation Statements (BRSs)to validate the reliability and accuracy of the Cash in Bank – Local Currency Account with a total balance of P72,116,413.56.

c. Unreconciled difference of the consolidated balances of "Due from Other Funds" and "Due to Other Funds" under the Intra-agency Receivable and Payable accounts amounting to P27,433,639.88.

4. Summary of Significant Observations and Recommendations

a. **Disbursements of the Municipality totaling P26,434,710.40 were not supported with complete documentation which is not in accord with the guidelines and requirements prescribed under COA Circular 2012-001 dated June 14, 2012 and Section 4(6) of Presidential Decree (PD) 1445 also known as the State Audit Code of the Philippines thus management's assertions of occurrence, accuracy, validity and completeness of transactions could not be ascertained.**

We recommended that:

a. the Municipal Accountant submit the lacking documentary requirements for the identified transactions and ensure that the guidelines and supporting documents required under COA Circular 2012-001 for the different types of government transactions are complied with before allowing payment to preclude the issuance of Notices of Suspension and/or Notice of Disallowance on transactions with incomplete documentation.

b. the concerned Municipal Officers whose signatures are required to be affixed in DVs strictly review the related disbursement transactions before signing the appropriate portion of the document.

c. the Management require the contractor/s or supplier/s to affix their signature in the Notice to Proceed and indicate the receipt of the notice and submit the duly accomplished Notice to the Audit Team.

b. **Out of the P19,902,872.76 Continuing Appropriations (2012-2016) and P29,872,743.64 Current Appropriations for the 20% Development Fund, only 23% or P4,504,674.65 and 32.24% or P9,629,971.37, respectively, was utilized as at year-end thus, may render projects programmed in prior years irrelevant to the present needs and situation of the Municipality. Likewise, projects under the 20% Development Fund (DF) of CY 2017 current appropriations totaling P14,500,000.00 remained unimplemented as of**

December 31, 2017 thereby depriving constituents of timely, basic and value added services and benefits which could have contributed to their socio-economic development.

We recommended that Management vigorously pursue the completion of the projects to be implemented the soonest time possible in order to achieve the objectives of the said projects in providing socio-economic benefits to the intended beneficiaries.

c. **Projects amounting to P3,425,094.55 was inappropriately charged from the current and continuing appropriation of CY 2017 of the 20% Development Fund (DF) which is not in consonance with the allowable development projects chargeable against the 20% DF as enumerated in Section 3.0 of the Joint Memorandum Circular No. 2017-1 dated February 22, 2017 of the Department of Interior and Local Government (DILG) and Department of Budget and Management (DBM) defeating the purpose of the fund which is to contribute to the attainment of socio-economic development and environmental management of the Municipality.**

We recommended that Management utilize the 20% Development Fund for priority projects that would contribute to socio-economic development of the Municipality and its constituents. Further, starting 2018, the fund that will be utilized to pay the loan availed to purchase DRRM vehicles be properly sourced from the corresponding LDDRMF of the LGU without prejudice to the required realignment of funds if necessary, thru a resolution.

d. **Seven (7) parcels of untitled land/lots acquired through Presidential Proclamation with a total assessed value of P7,061,676.00 remained untitled contrary to Section 148 of COA Circular 92-386 dated October 20, 1992, Section 23(2), Title I-Book-V of the 1987 Administrative Code.**

We recommended that the General Services Office produce the necessary documents needed in the processing of titles to ensure smooth processing with concerned government agencies. We further advised management to assign one employee who will be solely in charge in the processing of papers or documents needed in the titling to facilitate prompt completion thereof.

e. **The cost of supplies and materials in the total amount of P1,640,023.32 procured in year 2017 were treated as outright expense instead of using the "Inventory" account, which is not in accord to Sections 51 and 114, Volume 1 of the Manual on NGAS for LGUs.**

We recommended that the Municipal Accountant adopt the perpetual inventory method for supplies and materials and provide budget for storage for the supply requirements, otherwise, if no available storage area is available, we recommended that control procedures be established to regulate the issuance to

the end-users within a month. Further a central procurement system may be introduced by establishing the actual needs of each section offices as documented in the Annual Procurement Plan.

f. **The cost of consumed fuel, oil and lubricants during 2017 was not recognized as expense in the books of the LGU which is not in accordance with Sections 114 of the Volume 1 of the Manual on NGAS for LGUs and PPSAS No. 12 resulting to overstatement of asset and understatement of expenses. Moreover, the procurement of fuel, oil and lubricants by the LGU during 2017 was paid in advance even if the fuel were not yet withdrawn contrary to COA Circular No. 82-177 dated March 4, 1982 and PD No. 1445 which prohibits the advance payment for government contracts.**

We recommended that the Municipal Accountant make the necessary adjusting entry to record the consumed fuel, oil and lubricant and withdrawn from the various gas stations during the year 2017. We further recommended that management immediately cease from making advance payments for its purchases for fuel in compliance with COA Circular No. No. 82-177 dated March 4, 1982 which prohibits advance payments for government contracts. The fuel provider may deliver its fuel on a credit basis to the LGU and send billing statement either semi-monthly or monthly or other frequencies that the management of the LGU may deem appropriate.

5. Summary of Total Suspensions, Disallowances and Charges

The following shows the summary of suspensions, disallowances and charges as of December 31, 2017:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱4,036,777.58	₱ 1,503,600.00	-	₱5,540,377.58	-
Current Year	-	-	-	-	-
Total	*₱4,036,777.58*	*₱1,503,600.00*	-	*₱5,540,377.58*	-
Disallowances					
Prior Years	₱ 33,000.00	₱ 3,860,556.52	-	₱3,893,556.52	-
Current Year	-	-	-	-	-
Total	*₱ 33,000.00*	*₱3,860,556.52*	-	*₱3,893,556.52*	-
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 16 audit recommendations embodied in the 2016 Annual Audit Report, two (2) were fully implemented, one (1) was partially implemented and thirteen (13) were not implemented.